

MemoryCare — Growth Strategy, Years 2–5

August 7, 2026 · Confidential · Basis: financial model v6.0, the council-endorsed base growth curve (+120% / +90% / +65% / +50%), serviceable market of 12–18K families. Active clients at year end: 192 → 423 → 803 → 1,326 → 1,990 (~13% penetration of the base).

Principle

One new growth engine per year, layered on a proven predecessor; each year opens only through an entry gate. Field crews are hired on utilization triggers ($\geq 85\%$); the management layer is hired ahead of demand from Year 3 (council consensus).

Year 2 (~423 clients · revenue ~AMD 76M · EBITDA $\approx$ +USD 48.5K · 2 deep + 2 light crews)

Gate: 150+ clients, renewals $\geq 85\%$, pilot-cohort NPS ≥ 8 , Year-1 kill criterion not triggered. **Engine — Family Circle at full power plus a partner network.** The referral loop (viral factor ≥ 0.3 ; sub-account-to-client conversion $\geq 10\%$) becomes the primary low-cost channel; church and AGBU partnerships move from pilot to system (target: 20% of new clients). Marketing at USD 4,000/month per the ladder. Also in Year 2: the QR digital memorial launches only on a separate owner decision (the platform is ready for it); the "pay after first report" decision is made on pilot data; the plot-size pricing question is revisited (~6 months post-launch); a second deep crew on trigger; monthly plan-versus-actual review becomes routine.

Year 3 (~803 clients · revenue ~AMD 145M · EBITDA $\approx$ +USD 104K · VAT TRANSITION · 3 deep + 2–3 light crews)

Gate: Yerevan profitable four consecutive quarters; procedures documented; the referral loop performing. **Engine — the second city** (selected

from platform demand data outside Yerevan; leading candidates: Gyumri, or Etchmiadzin/Ashtarak for logistics). Success test: 40+ clients and operating breakeven within six months, otherwise fold back. **Critical:** revenue crosses the AMD 115M threshold → 20% VAT plus 18% profit tax. The pricing decision (pass-through of ~8-15% versus absorption) is taken at the end of Year 2 — a full year ahead. Ahead-of-demand hires: dispatcher and field supervisor. Also: multi-year prepaid packages (the German Dauergrabpflege pattern — 3-5 years prepaid at a discount, legally structured with client protections); B2B referral agreements with funeral agencies and monument workshops.

Year 4 (~1,326 clients · revenue ~AMD 239M · EBITDA ≈ +USD 196K · 4-5 deep + 3-4 light crews)

Gate: two profitable cities; the VAT transition absorbed without gross margin falling below 45%; renewals ≥80%. **Engine — B2B and new revenue formats:** community contracts (care of cemetery sections under agreements with communities and foundations — dozens of plots per contract), restoration as a separately priced flagship service, seasonal gift certificates. A third city if Year-3 criteria hold.

Year 5 (~1,990 clients · revenue ~AMD 358M · EBITDA ≈ +USD 306K · 6 deep + 5 light crews)

Gate: three cities; an operations director in place (founders out of the field); stable renewals. **Engine — category consolidation:** national coverage (4-5 cities) and the position of Armenia's standard for memorial-site care. By year end the company is an asset: ~2,000 renewing subscribers, a platform with network effects (Family Circle, and the QR memorial if launched), a recognized brand, documented operations — a clean strategic decision point for the owner: continue scaling, hold for dividends, or sell to a strategic buyer. (White-label export of the model to other diasporas is held strictly as an option against inbound interest.)

Standing rules

A missed gate defers the year; it does not cancel it. · Prices are reviewed once a year ahead of the renewal season with 60 days' client notice; the VAT-transition pricing decision is separate and scheduled at the end of Year 2. · Marketing is held at 8–12% of revenue. · Management hires ahead of demand; field hires on trigger. · This document and the model are re-based on actuals every December.